

# **Utilitarianism: An Ethical Decision Making Approach**

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## **Chapter 1: Introduction**

To understand the degree of inclination towards utilitarian ethical decision-making among student leaders at Spicer Adventist University, Pune, is the primary objective of this study. Utilitarian leaders are those who consider their decisions to be ethical if the outcome is good for the majority of their subordinates. They also hold the philosophy that general rules can be broken if the greater good can be achieved by breaking the rules and individuals must be willing to make personal sacrifice for the greater good of the society. Ethics as a whole is very vast and philosophical. There is no one right ethics in making decision to solve organizational situations because decisions and application of ethics are highly situational. This paper will help in understanding till what extent utilitarianism can be practiced in making ethical decisions and if people make different decisions in different situations.

## Chapter 2: Review of the Literature

In the book *Management; Challenges in the 21<sup>st</sup> Century* Lewis, Goodman, and Fandt (1995) stated, 'One of management's most important challenges is to conduct business ethically while achieving high levels of economic performance.' In the same book *ethical behavior* is defined as 'behavior which is morally accepted as good or right as opposed to bad or wrong' and *business ethics* is said to be the 'application of the general ethical rules to business behavior.' They go on to suggest three approaches for managers in handling ethical dilemmas, as: 'utility, human rights, and justice'.

Willings (1979) in his book *Understanding Management* states that management must take those decisions that will get the work done in the best possible way. The expression '*best possible way*' implies in a way that is most cost effective and optimum in quality. Davar (1966) stated that decisions must be aimed at furthering the best interest of the business in the circumstance they are made. Massie and Douglas (1985) stated that a rational decision making process includes: being conscious about the problem, diagnosing the problem, evaluate various alternatives and the problem consequence, selection of the best alternative and finally implementation and acceptance by the organization.

Utility approach is the expression of utilitarian philosophy as mainly advocated by Jeremy Bentham (1748-1832) among others. Shafer-Landau (2012) states that social laws and arrangements must consider the happiness and good of every individual while fulfilling the needs of the whole society. He also states that, promoting the general interest of the society needs to be considered as moral standard and not an action/decision compelled by rules/law. In his book it is also mentioned that the consequence of the action determines the rightness or wrongness of the action; according to extreme utilitarianism, and that if

the outcome from keeping a rule is lesser than breaking the rule, the rule can be broken; according to restricted utilitarianism. As suggested by Ferrell, Fraedrich, and Ferrell (2012) that act utilitarianism believes that the rightness of action needs to be evaluated whether that produces greatest utility for greatest number of people.

Hayry (2013) states that modern societies are based on utilitarian philosophies and that the happiness of the society at large outweighs the happiness of a privileged few. He also points out that every member of the society (subjects) must be make any sacrifice for the greater good. Arneson and Bowle (2017) states that the actions of governments should be judged simply by the extent to which they promote the 'greatest happiness of the greatest number.' According to Rockler (2007), truth us of uttermost importance for societies to function as this builds trust and confidence.

Keeping the above researches in light this research aims at analyzing how utilitarian are mangers in handling ethical dilemmas. It also aims to try and understand how leaders make their decisions in managing their groups.

### **Chapter 3: Methodology**

This is a qualitative research. Both primary and secondary data are used in this research. The Review of the Literature is completely based on related books, journals and research papers published by various authors on the topic. The researcher also used questionnaires to collect primary data from seminar and departmental club officers at Spicer Adventist University, Pune, who take decisions on the functioning of their respective groups and encounter situations where they make difficult decisions. Purposeful sampling was implemented for this purpose. A total of 32 officers took part in the survey, out of which 23 are male and 10 are female, with a median age of 21. Statistical tools like mean, median, mode and standard deviation were used to analyze and interpret the collected data.

## **Chapter 4: Presentation and Analysis of Data**

The data collected from the sample respondents at Spicer Adventist University, Pune, gave out the following information upon analysis:

1. Personal sacrifice for greater good is considered to be ethical by most people. When operating in a group the interest of the whole is given more preference than individuals. These refer to those sacrifices, which doesn't harm life. The sample group is reluctant to sacrifice one life against four lives!
2. Rules are guidelines to reduce conflict. The sample group seems to be okay with breaking general rules in extreme situation; a terrorist with a gun, and abide by them in simpler situations; going to a forbidden place for picnic. This implies that rules can be broken if the outcome is better than keeping it.
3. Leaders prefer to take their decision based on available facts & logic, rather than on feelings & opinions. They think this helps them make more rational decisions. They also seem to be utilitarian in their decision making as they think that the decisions should be taken for greater good. Having said that, decision-making is a dynamic process and it depends on the given situations, and therefore, they have different applicability. Decision-making is also said to be influenced by the religious insights of a person.

4. Though the interest of the whole is considered more important than those of a few, the few should not be neglected or abused. Their interest needs to be protected by some kind of rights and law. The sample group stated that the value of a person's life and dignity is more important than monetary benefits.
5. The end result is not always the main thing to consider while making decisions. The sample group would settle an internal mishandling of money internally; just between the officers, but make the instance of proving financial assistance to a poor person and ask everyone's opinion. They would also try and help but not from the organization's funds.

Given below is the report of the data collected from the respondents.

| <b>Indicator</b>                                   | <b>Mean</b> | <b>Median</b> | <b>Mode</b> | <b>SD</b> |
|----------------------------------------------------|-------------|---------------|-------------|-----------|
| Personal sacrifice for greater good                | 3.19        | 3             | 3           | 0.64      |
| Breaking the general rule for greater good         | 3.09        | 3             | 4           | 1         |
| Interest of the group before the interest of a few | 1.28        | 1             | 1           | 0.45      |
| Decision making approach                           | 1.28        | 1             | 1           | 0.45      |
| Decisions for greater good                         | 2.28        | 2             | 2           | 0.81      |
| Decision Making Approach                           | 2.66        | 3             | 3           | 0.83      |
| Decision making approach                           | 3.38        | 3             | 4           | 0.68      |
| Cost utilitarianism                                | 1.5         | 1.5           | 2           | 0.50      |
| Influence of religion on decision making           | 3.03        | 3             | 3           | 0.65      |
| End justifies the means                            | 1.12        | 1             | 1           | 0.33      |
| Interest of the group before self                  | 3.56        | 4             | 4           | 0.50      |
| Deontological or utilitarian                       | 2           | 2             | 2           | 0         |
| End justifies the means                            | 1.81        | 2             | 2           | 0.39      |
| Equity                                             | 1.09        | 1             | 1           | 0.29      |
| Equity                                             | 3.21        | 3             | 3           | 0.65      |

Table 4.1

## **Chapter 5: Conclusions and Recommendations**

To conclude it can be stated that generally leaders are utilitarian in making their decisions because they always consider the greater good while making decisions for social groups. The sample group showed high inclination towards utilitarianism. Utilitarianism can be practiced to the extent where it doesn't harm another person's life and dignified existence. Protection of the interest of the minority is a must concern for leaders while deciding for the greater good. Decisions are highly situational and leaders need to apply their wisdom in making such ethical decisions.

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## Questionnaire

| Question                                                                                                                                                                                                                                                                                                                                                                                                                                           | Indicator                                          |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------|
| <p>1. Your group of 100 people are planning for a trip/picnic and two options are given for them to choose from. However, there are a few people opting for a third option. It is in the ratio 60:30:10 (A:B:C). Should the people who opted for option B &amp; C make sacrifice and change their preference to option A since that's what more people wants?</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>      | Personal sacrifice for greater good                |
| <p>2. It is illegal to kill a person. There is a terrorist with weapon who will kill your group members if you don't kill him. Is it alright to kill that person to save all the people in your group and break the rule?</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>                                                                                                                                          | Breaking the general rule for greater good         |
| <p>3. A member of your group who is a major contributor, in terms of finance, to the group has physically abused another member of the group who is not so significant in terms of finance. All of your fellow officers and some group members have suggested to cancel his membership. If you do so, the finance will stop to come in. Should he be removed? Justify your decision with your reason.</p> <p>a) Yes, _____</p> <p>b) No, _____</p> | Interest of the group before the interest of a few |
| <p>4. When faced with a crisis which of the following approach would you use and why? Justify your decision with your reason.</p> <p>a) Facts &amp; Logic, _____</p> <p>b) Feelings &amp; Opinion, _____</p>                                                                                                                                                                                                                                       | Decision making approach                           |
| <p>5. Four of your group members are suffering from kidney failure, eye defect, heart blockage and an amputated leg, respectively. Is it alright to replace/transplant those organs in those people from a healthy person, who might die in the process. (So, you are sacrificing one life to save four lives)</p>                                                                                                                                 | Decisions for greater good                         |

|                                                                                                                                                                                                                                                                                                                                                                      |                                          |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p> <p>6. Should leaders take those decisions that is for the greater good, even if few are harmed by that decision?</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>                                                                                         | Decision making approach                 |
| <p>7. Decisions depends on the situation. What may be right in one situation might be not applicable in another situation. What is your opinion on this?</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>                                                                                                                             | Decision making approach                 |
| <p>8. Going to a water park, at the cost of Rs. 500 each; excluding lunch, will be fun and not educational, whereas, going to a museum, at the cost of Rs. 300 each; including lunch, will be educational but not so much fun. It is upto you to decide. Where would you take your group and why?</p> <p>a) Water park, _____</p> <p>b) Museum, _____</p>            | Cost utilitarianism                      |
| <p>9. Ethics are based on religious philosophies and influences the decision making of a person.</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>                                                                                                                                                                                     | Influence of religion on decision making |
| <p>10. One of your fellow officer who was given some funds for an event has misused some money. When you asked him/her about it s/he accepted his/her fault and said that s/he would replenish the fund. Should you bring this incidence to everyone's notice or just settle it between the two of you?</p> <p>a) Inform everyone, _____</p> <p>b) Settle, _____</p> | End justifies the means                  |
| <p>11. The interest of the group is more important that the interest of an individual. People should be willing to make personal sacrifice for the greater good of the group.</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>                                                                                                        | Interest of the group before self        |
| <p>12. Your group wants to go on a trip to a particular place that is forbidden by the</p>                                                                                                                                                                                                                                                                           | Deontological or utilitarian             |

|                                                                                                                                                                                                                                                                                                                                                                              |                         |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|
| <p>authorities. If you don't take them, they will stop supporting you and might even leave the club/seminar. It is possible for the group to go there without the authorities coming to know about it. What will you do?</p> <p>a) Take them, _____</p> <p>b) Not take them, _____</p>                                                                                       |                         |
| <p>13. A person comes to you (and your officers) and asks for monetary assistance as his daughter is about to undergo a surgery. You know him to have financial crisis (poor). Should you use the club/seminar fund to assist the person without informing the group? And you know, the club/group will not permit this action.</p> <p>a) Yes, _____</p> <p>b) No, _____</p> | End justifies the means |
| <p>14. Your officers are suggesting to collect Rs. 500 for an event. You know that some of the members will not be able to contribute that amount and will feel bad to attend the program without contributing the amount. Would you reduce the amount or go on with the same?</p> <p>a) Yes, _____</p> <p>b) No, _____</p>                                                  | Equity                  |
| <p>15. While considering the greater good of the group, the interest of the minority should be protected.</p> <p>a) Strongly agree    b) Agree    c) Disagree    d) Strongly disagree</p>                                                                                                                                                                                    | Equity                  |